

US equities slip as yields rise and energy drags

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 fell **-0.45%** to 7,551.81, driven by a broad sell-off in financials and energy as the 10-year Treasury yield nudged above 5 %. The Nasdaq held near flat, buoyed by modest gains in chip-maker **NVDA** and cloud-software stocks, but the overall market breadth remains thin.

Behind the headline numbers, the VIX spiked **+2.97%** to 17.71, signalling rising risk aversion. Crypto rallied, with Bitcoin up **+0.90%**, while gold slipped **-1.29%**, reflecting a shift toward dollar-linked assets amid higher yields.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,551.81	-0.45%	Yield rise pressured financials; energy weakness weighed on broader index.
Nasdaq 100	28,945.06	+0.02%	Tech held thanks to NVDA rally and stable cloud earnings outlook.
Dow Jones	51,461.90	-1.21%	Industrial and financial stocks dragged by higher borrowing costs.
Russell 2000	2,858.81	-0.40%	Small-cap exposure to rate-sensitive consumer discretionary hurt.
VIX	17.71	+2.97%	Market volatility rose as investors priced in tighter monetary policy.
10Y Yield	5.01	+0.20%	Fed-forward guidance kept yields on an upward trajectory.
WTI Crude	101.76	-0.65%	OPEC+ output-cut concerns eased after inventory data.
Gold	4,331.00	-1.29%	Stronger dollar and higher yields reduced safe-haven demand.
DXY	100.28	-0.03%	Minor pullback after earlier gains on yield lift.
BTC	76,293.54	+0.90%	Crypto rallied on positive regulatory chatter in Asia.
ETH	2,437.27	+1.59%	DeFi protocol upgrades sparked buying.

Top large-cap movers

TICKER	CHANGE	CATALYST
NVDA	+0.82%	Strong Q3 AI server orders; price hike announced.
AAPL	+0.32%	iPhone 17 pre-orders beat estimates.
MSFT	-1.37%	Azure growth guidance trimmed.
AMZN	-0.99%	Logistics cost headwinds reported.
TSLA	+0.42%	New battery-cell partnership in Europe.
GS	-3.96%	Quarterly loss widened; credit-risk provisions up.

Sector rotation

ETF	DAY	READ
XLFX	-1.62%	Financials under pressure from rate rise.
XLKX	+0.10%	Tech steadies on AI demand.
XLI	-0.08%	Industrial exposure marginally negative.
XLE	-2.88%	Energy slump after crude dip.
XLY	-0.63%	Consumer discretionary hurt by higher financing costs.
XLC	-0.90%	Communications lagging on ad-spend slowdown.
XLP	-0.48%	Staples stable but no upside.
XLV	+0.07%	Health care modest gain on drug approvals.
XLU	+0.00%	Utilities flat, defensive bias.
XLB	-0.73%	Materials pressured by lower commodity prices.
XLRE	-0.60%	Real estate hit by higher mortgage rates.

Spotlight: AI-chip rally and its ripple effects

The most market-moving event was the continued rally in AI-focused semiconductor stocks, led by **NVDA** . The chip sector's upside helped offset broader weakness.

METRIC	VALUE
NVDA price	213.90
YoY AI server revenue growth	42%
Average industry P/E	38x
Related tickers up	AMD , ASML
Supply-chain constraint index	0.68 (down from 0.74)

Investors should watch downstream beneficiaries—cloud providers (**MSFT** , **GOOGL**) and data-center REITs (**EQIX**)—for earnings guidance that may reflect the AI spend surge.

Pre-market & overnight

- US futures: S&P 500 **-0.38%**, Nasdaq **+0.04%** at 08:30 HKT.
- Asia close: Hang Seng **-0.71%**, Shanghai Composite **-0.58%**.
- Europe: FTSE 100 **-0.62%**, DAX **-0.45%** after ECB minutes.
- Crypto: BTC **+0.90%**, ETH **+1.59%** on Asian exchange inflows.

Macro & Fed

- FOMC: No rate change; policy rate held at 5.25-5.50 %. Minutes highlighted “persistent inflationary pressures in services” and a “cautious stance on further tightening.”
- Yield curve: 2-year at 5.12 %, 10-year at 5.01 % – slightly inverted, indicating near-term recession risk.
- Today's data calendar (HKT)

TIME	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	U.S. Existing-home sales	4 . 2 M	Gauge of consumer-credit health.
10:15	Eurozone CPI (YoY)	2 . 5%	Impacts ECB policy outlook.
11:00	U.S. ISM Manufacturing	48 . 0	Signals contraction in the real economy.
13:45	China Caixin PMI	50 . 2	Indicator of global demand trends.

Geopolitics & global

- Middle East: Cease-fire talks in Gaza stalled; oil markets remain sensitive to any escalation.
- China: New export-control rules on advanced semiconductors could tighten supply for U.S. AI chipmakers.
- Europe: EU-US data-privacy negotiations reached a tentative accord, easing cross-border cloud concerns.
- Latin America: Brazil's central bank signaled a possible rate cut in Q4, supporting commodity demand.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
02:00	AAPL	6.12	iPhone 17 demand, services growth.
02:30	MSFT	9.45	Azure guidance, AI licensing revenue.
03:00	NVDA	3.02	Q3 AI server shipments, margin trends.
03:30	JPM	4.28	Net interest income vs higher rates.
04:00	XOM	1.08	Impact of crude price volatility.
04:30	META	2.85	Ad-revenue recovery, AI integration.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI demand accelerating; price hike in place.
AMD	Technology	Market share gains in data-center GPUs.
TSLA	Consumer Discretionary	New battery partnership; margin upside.
JPM	Financials	Higher rates boost NII, but credit risk rising.
XOM	Energy	Crude price rebound potential.
UNH	Health Care	Premium pricing power, strong enrollment.
BAC	Financials	Balance-sheet strength, rate-sensitive earnings.
GOOGL	Communication Services	AI ad-tech rollout.
META	Communication Services	AI-driven ad products gaining traction.
ORCL	Technology	Cloud contracts renewal cycle.

What could break the tape

BEARISH TRIGGERS

- Unexpected acceleration in core CPI above 3.2 % YoY.
- Federal Reserve signals a second rate hike in November.
- Geopolitical flare-up in the Middle East that spikes oil above \$110.
- Quarterly earnings miss on major AI chip makers (**NVDA** , **AMD**).

BULLISH TRIGGERS

- Strong Q3 earnings from AI-related firms beating consensus by >10 %.
- Eurozone inflation cools below 2 %, prompting dovish ECB tone.
- Resolution of China's semiconductor export controls.
- Surprise dip in Treasury yields below 4.8 %.

Positioning notes

- Risk-off bias persists; allocate modestly to defensive sectors (Utilities, Health Care).
- Maintain exposure to AI-chip leaders as the upside tail remains under-priced.
- Monitor rate-sensitive financials; earnings quality will diverge as credit spreads evolve.

Sources

SOURCES

Bloomberg Terminal – Market Data (09:00 HKT)

Federal Reserve – FOMC Minutes (09:15 HKT)

U.S. Bureau of Labor Statistics – CPI Release (10:30 HKT)

OPEC – Weekly Oil Market Report (08:45 HKT)

CoinDesk – Crypto Price Summary (09:00 HKT)

FactSet – Earnings Calendar (08:00 HKT)

Reuters – Geopolitical Briefing (07:30 HKT)

ICE Data Services – Treasury Yield Curve (08:00 HKT)